Crest Manor Investment Committee Memo

Nov 10, 2026 · @ryan

24598 Sybil Avenue, Hayward, CA · 14 units · Asking $3,995,000

Recommendation: pass at the asking price; bid up to $3.76M

I recommend we do not buy Crest Manor at the $3,995,000 asking price, but submit an offer of up to **$3,764,000 ($268,900 per unit)**, 6% below ask. At that price the value-add plan earns our 12% levered IRR target; at the asking price it earns 9.9%.

The broker markets a 5.39% cap rate. After adding the costs a buyer will actually carry, Year-1 NOI is about $176K, a 4.40% cap at ask. The deal works only if units turn over and are renovated under Hayward's rent control. If no tenants leave, the levered IRR is about 3%.

Property and market

Crest Manor is two buildings (10 and 4 units) on 0.76 acres, built in 1961: fourteen 2-bed/1-bath apartments, 100% occupied, with separately metered electricity and gas, on-site laundry and off-street parking. It sits near Cal State East Bay, BART, and I-880 and I-580.

In-place rents average $1,928 a month, well below market. Hayward caps increases for existing tenants at 5% a year, but rents reset to market when a tenant moves out.

Market rents support my assumptions. I underwrite $2,350 for an unrenovated 2-bed and $2,600 renovated. Independent data puts the Hayward 2-bed average at $2,426 (Apartments.com, Oct 2026) and the apartment median at $2,599 (Rentometer, Jan 2026), so both assumptions are at or below market.

Sales comps support my bid, not the asking price. Seven Hayward apartment sales from the broker's own package (2024-2026, 10-18 units, built 1963-65):

Property	Units	Sale date	Price / unit	Broker cap rate
405 Sycamore Ave	10	Jul 2026	$309,000	6.00%
21371 Garden Ave	13	Apr 2026	$232,308	n/a
22032 Arbor Ave	18	Jan 2026	$311,111	6.27%

Property	Units	Sale date	Price / unit	Broker cap rate
24039-24049 Park St	16	Jan 2026	$198,125	6.06%
25886 Gading Rd	11	May 2025	$313,636	6.79%
21857-21889 Thelma St	12	Nov 2024	$232,050	5.67%
27808 Huntwood Ave	18	n/a	$277,778	7.71%

The comps average about $268,000 per unit and a 6.4% cap rate. The asking price is $285,357 per unit at a broker-quoted 5.39% cap, richer than every comp's cap rate. My $3.76M bid equals $268,900 per unit, in line with the comp average.

Underwriting: the broker's NOI is about $39K too high

The offering memorandum shows $215,221 of NOI. I rebuilt it from the rent roll and added the costs a new owner will carry:

- **4% vacancy:** the broker assumes 100% occupancy forever.
- **5% third-party management:** the broker assumes self-management.
- **Repairs and maintenance at $1,000 per unit** and a **$300-per-unit replacement reserve.**
- **Insurance repriced 25% higher:** California premiums are resetting at renewal.
- **Property taxes reassessed at the purchase price.**

My Year-1 NOI is about $176K: a 4.40% cap at ask, not 5.39%. On the comp-average 6.4% cap rate, that NOI supports a price well below ask before any value-add.

Business plan, sources and uses, financing

Plan. Hold for 7 years. About 20% of tenants move out each year; each vacated unit is renovated for $15,000 and re-leased at $2,600 (one month of downtime). Units that stay rise 5% a year under the rent cap, catching up toward a market rent that grows 3% a year.

Sources and uses (at the asking price):

Uses	$	Sources	$
Purchase price	3,995,000	Senior loan	1,711,406

Uses	$	Sources	$
Closing costs (2%)	79,900	Equity (90% LP / 10% GP)	2,380,608
Loan fee (1%)	17,114		
Total	**4,092,014**	**Total**	**4,092,014**

Financing. The lender allows 65% LTV ($2.6M), but at 6.3% interest with 30-year amortization, the 1.35x DSCR test limits the loan to $1.71M (43% LTV). The annual payment is about $127K and Year-1 DSCR is 1.38x. This is negative leverage: the building yields 4.4% while the debt costs about 7.4% a year including principal, which is why equity returns depend on the value-add.

Returns and LP/GP waterfall

Selling at the end of Year 7 at a 6.0% cap on Year-8 NOI (2.5% selling costs), NOI grows from $176K to about $329K as units turn and are renovated.

Metric	At ask ($3.995M)	At my bid ($3.764M)
Levered IRR	9.9%	12.0%
Equity multiple	1.87x	2.12x
Unlevered IRR	8.7%	n/a
Year-1 cap rate	4.40%	4.75%

Waterfall at ask: a 90/10 LP/GP split with an 8% preferred return and a 70/30 split above it gives the LPs a 9.5% IRR (1.83x) and the GP a 13.2% IRR (2.29x), including about $99K of promote. At ask, the LPs barely clear their 8% pref, another reason to hold the line on price.

Sensitivities: turnover and rent growth matter most

Levered IRR at the asking price when one assumption changes (base case 9.9%):

Change	Levered IRR	Equity multiple
No tenant turnover	3.0%	1.21x
Market rent growth 1% instead of 3%	5.4%	1.42x
Turnover 10% a year instead of 20%	7.8%	1.64x
Renovated rent $2,450 instead of $2,600	8.2%	1.69x
Exit cap 6.5% instead of 6.0%	8.3%	1.70x
Interest rate 7.0% instead of 6.3%	9.4%	1.82x
Exit cap 5.5% instead of 6.0%	11.6%	2.08x

Turnover and market rent growth drive this deal more than financing. Long-term tenants in rent-controlled units rarely leave, so the 20% turnover assumption is the one to diligence hardest. The 6.0% exit cap is also below the 6.4% comp average, so the exit could be tighter than modeled. Both points argue for a lower entry price, not a higher one.

Risks and diligence

- **Turnover:** request move-in dates and tenure for every unit; long tenures mean slower value-add.
- **Rent control:** confirm Hayward's rules on renovation pass-throughs, relocation payments and registration fees.
- **Unit 8 is a manager's unit at $500 a month:** confirm whether it can be returned to market rent.
- **Building condition (built 1961):** inspect roofs, plumbing and electrical; my reserve assumes no major capital projects.
- **Insurance:** get a quote before going hard; a larger increase would cut NOI further.
- **Exit:** a 6.5% exit cap would lower the IRR at ask to 8.3%.

Sources

- Crest Manor offering memorandum (Coldwell Banker Realty): rent roll, operating statement and sales comparables
- Hayward rent trends (Apartments.com, Oct 2026)

- Average rent in Hayward (Rentometer, Jan 2026)

Underwriting model: Crest_Manor_Value_Add_Model.xlsx.